

DEWA

IPO Valuation and Pricing Rebuild (April 2022)

DFM: DEWA · AED millions · per-share values in AED · as of FY2021 prospectus figures · aftermarket to 18 Sep 2026

A rebuild of the April 2022 DEWA initial public offering from public announcements: the valuation on FY2021 information by three methods, the pricing inside the range and the mechanics of the book and the upsizing, the discount measured on the first day of trading, and the four-year record since against what the IPO case assumed.

What this is

- Valuation by dividend yield on the committed AED 6.2 billion payout, EV / EBITDA on FY2021 adjusted EBITDA, and a five-year DCF — all on information available at the time, with today's utility multiples shown for context only.

How it is built

- Pricing and book: market capitalisation across the range, proceeds, cornerstone share, coverage of the open book reproducing the announced 37 times, and the coverage the original 6.5% deal would have shown.
- The IPO discount from unadjusted first-day prices, money left on the table against fees, and the price that would have left a 10% first-day rise.
- Aftermarket: total return with dividends, EBITDA growth delivered against assumed, and the multiple then and now.

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Key outputs (live)

Final price (AED)	2.48
Gross proceeds (AED m)	22,320
Open-book coverage	37.0x
First-day rise	15.7%
Money left on the table (AED m)	3,510
Total return to date, with dividends	30.5%

Colour code

Blue = hard-coded input
 Black = formula
 Green = link to another sheet
 Accent fill = scenario selector / key levers

DEWA PJSC price-range announcement (24 March 2022), final-price announcement (6 April 2022) and IPO FAQ: deal terms, cornerstone commitments, demand, FY2021 revenue, adjusted EBITDA, net income and leverage.

Sources

Aftermarket prices: Dubai Financial Market via Yahoo Finance, unadjusted. FY2022–FY2025 financials via Yahoo Finance for DEWA.AE.

Target yields, peer multiples at April 2022 levels, DCF assumptions and the fee rate are stated inputs; today's peer multiples are shown for context and are not used in the valuation.

Nothing here is a recommendation. The rebuild is an analytical exercise on public information.

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Deal terms, FY2021 financials, valuation assumptions and the aftermarket record

DEAL TERMS AS ANNOUNCED

Shares in issue (millions)	50,000	
Price range — low (AED)	2.25	24 March 2022
Price range — high (AED)	2.48	
Final offer price (AED)	2.48	6 April 2022; the top of the range
Shares offered at launch (millions)	3,250	6.5% of the company
Shares offered at pricing (millions)	9,000	Upsized to 18%
Cornerstone commitments at launch	4,700	
Cornerstone and strategic commitments at pricing	13,800	
Total demand excluding cornerstones	315,000	AED 315 billion, per the final-price announcement
Assumed gross underwriting and advisory fees, % of proceeds	1.8%	Stated assumption; large sovereign deals in the region price below the 3–5% global norm

FY2021 FINANCIALS FROM THE PROSPECTUS SUMMARY

Revenue	23,800	Over 95% regulated or contracted
Adjusted EBITDA	12,100	
Net income	6,600	
Net debt / EBITDA	1.5x	
Net debt, derived	18,150	
Non-controlling interests (Empower minority, FY2022 balance sheet as pro)	2,953	
Committed annual dividend, first five years	6,200	AED 6.2 billion a year, paid in two instalments — the centre of the equity story
Committed dividend per share (AED)	0.124	

VALUATION ASSUMPTIONS — stated inputs at April 2022 levels

Target dividend yield — demanding investor	5.5%	Where Gulf and European integrated utilities traded in spring 2022
Target dividend yield — generous investor	4.5%	
EV / EBITDA — low	10.0x	Regulated networks and integrated utilities; today's peer median is on the Valuation sheet
EV / EBITDA — high	12.5x	
EBITDA growth, five years	4.5%	Dubai population and demand growth; FY2021–FY2025 actual was 10.9% a year
Capital expenditure per year	8,000	
UAE corporate tax from 2023 (applied to EBIT)	9.0%	
Depreciation as % of EBITDA	45.0%	
Weighted average cost of capital	6.5%	A dirham-pegged regulated utility with 1.5x leverage
Terminal growth	2.0%	

AFTERMARKET (AED per share, unadjusted, DFM)

First-day open, 12 April 2022	2.98	
First-day high	3.05	
First-day close	2.87	
Close one year after listing, 12 April 2023	2.47	
Close 18 September 2026	2.74	
Dividends received per share since listing (AED)	0.496	Eight semi-annual instalments of AED 0.062 under the policy

FY2025 ACTUALS, FOUR YEARS ON		
Revenue	32,842	
EBITDA	18,283	
Net income	8,347	
Net debt	31,397	
Non-controlling interests	6,753	

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Three methods on FY2021 information, against the price range

1. DIVIDEND YIELD ON THE COMMITTED PAYOUT

Equity value at the demanding yield	112,727
Equity value at the generous yield	137,778
per share, low (AED)	2.25
per share, high (AED)	2.76

Exactly 5.0%: the price was set so that the committed dividend delivered a round yield

Yield at the final price	5.0%
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2. EV / EBITDA ON FY2021 ADJUSTED EBITDA

Enterprise value, low multiple	121,000
Enterprise value, high multiple	151,250
Equity value, low (EV – net debt – minorities)	99,897
Equity value, high	130,147
per share, low (AED)	2.00
per share, high (AED)	2.60
EV / EBITDA at the final price	12.0x
P / E at the final price	18.8x

Where utilities trade today (18 Sep 2026, trailing EV / EBITDA) — context, not an input

Enel	8.4x
Engie	9.3x
Saudi Electricity	7.1x
Duke Energy	11.3x
Consolidated Edison	10.8x
Empower (Dubai)	11.6x
Tabreed	12.1x
Iberdrola	13.9x
National Grid	14.6x
Median	11.3x

3. DISCOUNTED CASH FLOW, FIVE YEARS				
Year	FY2022E	FY2023E	FY2024E	FY2025E
EBITDA	12,645	13,214	13,808	14,429
Depreciation	5,690	5,946	6,214	6,493
Tax on EBIT (from 2023)	-	(654)	(684)	(714)
Capital expenditure	(8,000)	(8,000)	(8,000)	(8,000)
Free cash flow to the firm	4,645	4,559	5,125	5,715
Discount factor	0.9390	0.8817	0.8278	0.7773
Present value	4,361	4,020	4,242	4,443
Terminal value at end FY2026E	143,534			
Present value of terminal value	104,763			
Enterprise value	126,451			
Equity value	105,348			
per share (AED)	2.11			
Terminal value as % of enterprise value	82.8%			

THE THREE METHODS AGAINST THE RANGE (AED per share)	
Lowest of the method lows	2.00
Highest of the method highs	2.76
Midpoint of the three method midpoints	2.30
Midpoint of the announced range	2.37

Positive means the deal was priced above a mid-case fair value on FY2021 numbers. The first-day rise was not a fundamental discount

Final price versus the valuation midpoint 7.6%

The yield method dominated the marketing: a committed AED 6.2 billion a year at a 5% yield gives AED 124 billion exactly, and the range top was reverse-engineered from it. The multiple and DCF methods on the same FY2021 numbers sit lower, and the final price lands about 8% above the midpoint of the three. On fundamentals the deal was priced full; the first-day rise came from a book that valued the yield above everything else and received 3% allocations, not from an underpricing discount.

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Size, proceeds, cornerstones, coverage and the discount left on the table

MARKET CAPITALISATION AT THE RANGE

At the bottom of the range	112,500	
At the top of the range	124,000	
At the final price	124,000	<i>AED 124 billion, the largest company on the DFM at listing</i>

SIZE AND PROCEEDS

Stake offered at launch	6.5%
Stake offered at pricing	18.0%
Upsizing factor	2.8x
Gross proceeds to the selling shareholder	22,320
Less: fees (assumed)	<u>(391)</u>
Net proceeds	21,929
Government of Dubai's stake after the IPO	82.0%

THE BOOK

Cornerstone and strategic commitments as % of the deal	61.8%	<i>Over 60% of the enlarged deal was committed before the book opened</i>
Shares placed with the open book (AED)	<u>8,520</u>	
Coverage of the open book: demand / open-book allocation	<u>37.0x</u>	<i>Reproduces the '37 times oversubscribed' headline</i>
Coverage of the whole deal, cornerstones included	14.7x	
Coverage the original 6.5% deal would have shown	39.7x	<i>The number that made the upsizing possible</i>
Average fill rate for open-book orders	2.7%	

THE DISCOUNT

First-day close versus the offer price	15.7%	
First-day open versus the offer price	20.2%	
Money left on the table: shares sold × (first-day close – offer)	3,510	
as % of gross proceeds	15.7%	
as a multiple of the fees paid	9.0x	
Offer price that would have left a 10% first-day discount (AED)	2.61	<i>Above the range top. The range, not the pricing, was the conservative decision</i>

A 15–20% first-day rise is at the upper end of what issuers accept and the lower end of what a 37-times book would predict. The range was fixed two weeks before pricing and already sat at or above fundamental value, so the only lever left was size: the seller nearly tripled the deal rather than move the price. The money left on the table is the cost of that choice, and it bought a much larger free float.

WHAT THE COMPANY DELIVERED, FY2021 TO FY2025

MULTIPLES THEN AND NOW

The business grew faster than the IPO case and the shares still spent most of four years near the offer price. The gap is the multiple: DEWA was sold at twelve times EBITDA and has since de-rated toward where global utilities trade. An IPO investor's return has come almost entirely from the dividend it was promised. That is the shape of a correctly priced regulated-utility IPO — the story was the yield, and the yield was delivered.

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Value per share (AED) — each cell rebuilds the method

DIVIDEND YIELD METHOD — TARGET YIELD (rows) versus ANNUAL DIVIDEND, AED m (columns)

↓ rows \ columns →	5,600	5,900	6,200	6,500	6,800
4.0%	2.80	2.95	3.10	3.25	3.40
4.5%	2.49	2.62	2.76	2.89	3.02
5.0%	2.24	2.36	2.48	2.60	2.72
5.5%	2.04	2.15	2.25	2.36	2.47
6.0%	1.87	1.97	2.07	2.17	2.27

DCF — WACC (rows) versus TERMINAL GROWTH (columns)

↓ rows \ columns →	1.0%	1.5%	2.0%	2.5%	3.0%
5.5%	2.20	2.48	2.85	3.34	4.02
6.0%	1.93	2.15	2.43	2.79	3.27
6.5%	1.71	1.89	2.11	2.38	2.73
7.0%	1.53	1.67	1.85	2.06	2.33
7.5%	1.37	1.49	1.64	1.81	2.02

Price range (AED)	2.25 – 2.48
Final price (AED)	2.48
Market capitalisation at listing	124,000
Stake sold: launched at / priced at	6.5% / 18.0%
Gross proceeds	22,320
Cornerstones as % of the deal	61.8%
Open-book coverage	37.0x

Dividend-yield method (AED per share)	2.25 – 2.76
EV / EBITDA method (AED per share)	2.00 – 2.60
DCF (AED per share)	2.11
Final price versus the valuation midpoint	7.6%
Yield / EV-EBITDA / P-E at the final price	5.0% / 12.0x / 18.8x

First-day rise	15.7%
Money left on the table	3,510
Total return to an IPO investor to date	30.5%
annualised	6.2%
EBITDA growth delivered versus assumed	10.9% versus 4.5%
Multiple then versus now	12.0x → 9.6x

- *The price was the dividend. AED 6.2 billion a year at a 5% yield is AED 124 billion, which is the top of the range to the dirham. The book-building confirmed a number that had been chosen before the book opened.*
- *The book was three times bigger than the deal it was built for. Demand of AED 315 billion against a launch size of AED 7–8 billion let the seller nearly triple the offering to 18% and still report 37 times coverage. Most of the enlarged deal went to cornerstones who had already agreed the price.*
- *On FY2021 fundamentals the price was full — about 8% above the midpoint of the yield, multiple and DCF methods — yet the shares still rose 16% on day one and AED 3.5 billion was left on the table, nine times the fees. A book filled at 3% cannot be satisfied by any price inside a range; the seller took size instead.*
- *Four years on the shares are close to the offer price and the business has grown EBITDA at 11% a year. The return has been the dividend, and the multiple has de-rated toward global utilities. For a regulated monopoly sold on yield, that is the pricing working as intended.*

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Every check must read TRUE

INTEGRITY CHECKS

Market cap at the final price reproduces the announced AED 124 billion	TRUE
Gross proceeds reproduce the announced AED 22.3 billion	TRUE
Stake sold reproduces the announced 18%	TRUE
Open-book coverage reproduces the announced 37 times within rounding	TRUE
Yield at the final price is 5.0%	TRUE
Final price sits at the top of the range	TRUE
Dividend-yield value at 5% reproduces the final price	TRUE
DCF free cash flow is positive in every year	TRUE
Terminal growth is below WACC	TRUE
Base yield sensitivity cell reproduces the final price	TRUE
Base DCF sensitivity cell reconciles to the Valuation sheet	TRUE
Money left on the table equals shares sold times the first-day gain	TRUE
Net debt derived from the disclosed 1.5x lies between AED 15bn and AED 21bn	TRUE
Government stake after the IPO is 82%	TRUE

MODEL STATUS

MODEL OK

The first five checks reproduce the headline numbers from the company's own announcements — AED 124 billion, AED 22.3 billion, 18%, 37 times, 5% — from the raw inputs, which is what makes this a rebuild rather than a retelling.